CLOSING STATEMENT

Mesa Osprey Collegiate Commons | Charlotte, NC

Property	Mesa Osprey Collegiate Commons
Settlement Date	March 15, 2018
Buyer	Tidewater Core Fund
Seller	Northvale Development Co.
Sale Price	$44,930,000

Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Purchase price	$44,930,000			
Earnest money deposit		$369,642	$369,642	
Real estate tax proration	$80,715			$80,715
Rent proration			$384,645	
Security deposits assumed	$129,468	$129,468		
Prepaid rents			$217,048	$217,048
Owner's title policy premium	$42,385			
Lender's title policy premium		$388,252	$388,252	
Escrow fee	$132,917			$132,917
Recording fees			$121,048	
Transfer tax	$195,224	$195,224		
Survey			$338,772	$338,772
Legal fees - Buyer	$187,378			
Legal fees - Seller		$270,931	$270,931	
Broker commission	$257,498			$257,498
Loan origination fee			$120,935	
Lender legal	$80,615	$80,615		
Appraisal fee			$432,811	$432,811
Environmental report	$417,075			
Property condition report		$403,747	$403,747	
Tax escrow deposit	$170,545			$170,545
Insurance escrow deposit			$274,293	

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Legal fees - Buyer	$44,930,000			
Legal fees - Seller		$14,309	$14,309	
Broker commission	$201,800			$201,800
Loan origination fee			$292,060	
Lender legal	$309,932	$309,932		
Appraisal fee			$395,545	$395,545
Environmental report	$249,578			
Property condition report		$350,005	$350,005	
Tax escrow deposit	$32,196			$32,196
Insurance escrow deposit			$108,228	
Replacement reserve deposit	$189,199	$189,199		
Utility deposits			$58,844	$58,844
Assumed vendor contracts credit	$420,636			
Tenant improvement credit		$22,393	$22,393	
Courier / wire fees	$28,427			$28,427
Municipal certificates			$305,540	
Purchase price	$211,960	$211,960		
Earnest money deposit			$169,405	$169,405
Real estate tax proration	$81,840			
Rent proration		$175,881	$175,881	
Security deposits assumed	$230,075			$230,075
Prepaid rents			$153,069	
Owner's title policy premium	$436,111	$436,111		
Lender's title policy premium			$359,158	$359,158
Escrow fee	$248,283			
Recording fees		$347,481	$347,481	
Transfer tax	$171,289			$171,289
Survey			$75,035	

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Financial Analysis

The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 6.67% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $166,000, representing a 10.4% increase over the prior year. Operating expenses totaled $296,000 or approximately 36.74 per square foot, with real estate taxes representing the largest line item. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Income and Expense Review

Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 96.0% with rental rates per bed averaging $852. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $478,000, representing a 3.1% increase over the prior year.

Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 95.2% with rental rates per bed averaging $852. The going-in capitalization rate of 7.15% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $415,000, representing a 11.8% increase over the prior year.

Valuation Discussion

Effective gross income for the trailing period was $24,000, representing a 10.9% increase over the prior year. Debt service coverage ratio was 7.82x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 91.2% with rental rates per bed averaging $852. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 5.61% reflects the in-place income and the stabilized occupancy assumption. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Assumed vendor contracts credit	$44,930,000			
Tenant improvement credit		$395,702	$395,702	
Courier / wire fees	$118,374			$118,374
Municipal certificates			$46,574	
Purchase price	$245,351	$245,351		
Earnest money deposit			$306,636	$306,636
Real estate tax proration	$132,137			
Rent proration		$413,053	$413,053	
Security deposits assumed	$437,327			$437,327
Prepaid rents			$237,392	
Owner's title policy premium	$12,640	$12,640		
Lender's title policy premium			$88,097	$88,097
Escrow fee	$376,551			
Recording fees		$47,342	$47,342	
Transfer tax	$296,386			$296,386
Survey			$356,318	
Legal fees - Buyer	$264,805	$264,805		
Legal fees - Seller			$391,428	$391,428
Broker commission	$383,897			
Loan origination fee		$327,344	$327,344	
Lender legal	$169,926			$169,926
Appraisal fee			$90,548	
Environmental report	$303,165	$303,165		
Property condition report			$201,449	$201,449
Tax escrow deposit	$349,317			
Insurance escrow deposit		$220,508	$220,508	
Replacement reserve deposit	$147,763			$147,763
Utility deposits			$305,151	

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 7.2% over the hold period. Pre-leasing for the coming academic year stands at 90.5% with rental rates per bed averaging $852. The going-in capitalization rate of 6.65% reflects the in-place income and the stabilized occupancy assumption. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Operating expenses totaled $405,000 or approximately 11.97 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $144,000, representing a 4.0% increase over the prior year. Operating expenses totaled $196,000 or approximately 7.19 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Operating Performance

Pre-leasing for the coming academic year stands at 93.8% with rental rates per bed averaging $852. The going-in capitalization rate of 7.77% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 6.9% of collected revenue and are included in operating expenses. Operating expenses totaled $336,000 or approximately 31.86 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Debt service coverage ratio was 7.96x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $35,000, representing a 7.8% increase over the prior year.

Valuation Discussion

Debt service coverage ratio was 6.10x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The property is located 9 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Operating expenses totaled $457,000 or approximately 35.99 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $140,000, representing a 8.3% increase over the prior year. Debt service coverage ratio was 5.01x on a trailing basis against a covenant minimum of 1.20x.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Escrow fee	$44,930,000			
Recording fees		$227,030	$227,030	
Transfer tax	$346,159			$346,159
Survey			$197,572	
Legal fees - Buyer	$291,259	$291,259		
Legal fees - Seller			$14,247	$14,247
Broker commission	$233,519			
Loan origination fee		$358,765	$358,765	
Lender legal	$55,573			$55,573
Appraisal fee			$62,754	
Environmental report	$124,271	$124,271		
Property condition report			$227,979	$227,979
Tax escrow deposit	$243,994			
Insurance escrow deposit		$192,074	$192,074	
Replacement reserve deposit	$32,423			$32,423
Utility deposits			$336,368	
Assumed vendor contracts credit	$317,560	$317,560		
Tenant improvement credit			$110,634	$110,634
Courier / wire fees	$219,512			
Municipal certificates		$353,670	$353,670	
Purchase price	$426,832			$426,832
Earnest money deposit			$19,969	
Real estate tax proration	$180,707	$180,707		
Rent proration			$248,552	$248,552
Security deposits assumed	$335,789			
Prepaid rents		$389,856	$389,856	
Owner's title policy premium	$76,833			$76,833
Lender's title policy premium			$368,129	

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Financial Analysis

The property is located 7 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.18% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period.

Pre-leasing for the coming academic year stands at 96.4% with rental rates per bed averaging $852. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

Valuation Discussion

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The going-in capitalization rate of 5.72% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 93.9% with rental rates per bed averaging $852. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $360,000, representing a 4.5% increase over the prior year.

Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Operating expenses totaled $204,000 or approximately 34.81 per square foot, with real estate taxes representing the largest line item. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Valuation Discussion

Debt service coverage ratio was 6.90x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $107,000, representing a 8.0% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Pre-leasing for the coming academic year stands at 93.3% with rental rates per bed averaging $852. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The property is located 1 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Debt service coverage ratio was 6.41x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.7% of collected revenue and are included in operating expenses.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Tax escrow deposit	$44,930,000			
Insurance escrow deposit		$53,710	$53,710	
Replacement reserve deposit	$379,428			$379,428
Utility deposits			$344,857	
Assumed vendor contracts credit	$309,230	$309,230		
Tenant improvement credit			$178,938	$178,938
Courier / wire fees	$416,014			
Municipal certificates		$30,843	$30,843	
Purchase price	$404,298			$404,298
Earnest money deposit			$430,506	
Real estate tax proration	$437,614	$437,614		
Rent proration			$258,405	$258,405
Security deposits assumed	$146,688			
Prepaid rents		$406,906	$406,906	
Owner's title policy premium	$120,506			$120,506
Lender's title policy premium			$148,103	
Escrow fee	$354,161	$354,161		
Recording fees			$188,451	$188,451
Transfer tax	$360,307			
Survey		$303,396	$303,396	
Legal fees - Buyer	$227,015			$227,015
Legal fees - Seller			$258,956	
Broker commission	$305,142	$305,142		
Loan origination fee			$340,641	$340,641
Lender legal	$42,163			
Appraisal fee		$399,483	$399,483	
Environmental report	$402,408			$402,408
Property condition report			$120,277	

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Valuation Discussion

Debt service coverage ratio was 6.74x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $291,000, representing a 5.5% increase over the prior year. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Pre-leasing for the coming academic year stands at 91.0% with rental rates per bed averaging $852. The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The going-in capitalization rate of 5.69% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $421,000, representing a 5.5% increase over the prior year. Debt service coverage ratio was 6.60x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Pre-leasing for the coming academic year stands at 93.0% with rental rates per bed averaging $852.

Valuation Discussion

Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. The property is located 2 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $236,000 or approximately 29.73 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $260,000 or approximately 39.88 per square foot, with real estate taxes representing the largest line item. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Effective gross income for the trailing period was $148,000, representing a 10.4% increase over the prior year.

Operating Performance

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Operating expenses totaled $245,000 or approximately 16.73 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 89.7% with rental rates per bed averaging $852. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period.

Operating expenses totaled $336,000 or approximately 46.55 per square foot, with real estate taxes representing the largest line item. Pre-leasing for the coming academic year stands at 94.2% with rental rates per bed averaging $852. The going-in capitalization rate of 5.45% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $23,000, representing a 9.8% increase over the prior year.

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Settlement Statement - Itemized Charges

Description	Buyer Debit	Buyer Credit	Seller Debit	Seller Credit
Security deposits assumed	$44,930,000			
Prepaid rents		$241,819	$241,819	
Owner's title policy premium	$405,031			$405,031
Lender's title policy premium			$96,646	
Escrow fee	$238,245	$238,245		
Recording fees			$385,587	$385,587
Transfer tax	$15,829			
Survey		$67,193	$67,193	
Legal fees - Buyer	$36,559			$36,559
Legal fees - Seller			$207,416	
Broker commission	$433,669	$433,669		
Loan origination fee			$399,970	$399,970
Lender legal	$305,685			
Appraisal fee		$21,412	$21,412	
Environmental report	$332,507			$332,507
Property condition report			$212,566	
Tax escrow deposit	$88,459	$88,459		
Insurance escrow deposit			$268,238	$268,238
Replacement reserve deposit	$336,386			
Utility deposits		$158,626	$158,626	
Assumed vendor contracts credit	$195,263			$195,263
Tenant improvement credit			$83,720	
Courier / wire fees	$413,141	$413,141		
Municipal certificates			$185,604	$185,604
Purchase price	$72,947			
Earnest money deposit		$322,501	$322,501	
Real estate tax proration	$91,895			$91,895
Rent proration			$165,804	

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Signatures

IN WITNESS WHEREOF, the parties have executed this instrument as of the date first written above.

_____

Mesa Osprey Collegiate Commons Owner LLC

By: Marcus Brooks Title: Authorized Signatory Date: 03/15/2018

_____

Kevin Quinn

By: Natalie Thompson Title: Managing Member Date: 03/15/2018

Exhibit A - Property

Mesa Osprey Collegiate Commons, 6081 Sunset Street, Charlotte, NC 88527. Parcel containing approximately 4.94 acres, together with all improvements thereon.

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